find the rupee resources for meeting that expenditure. Since it was not possible to finance this expenditure in a non-inflationary manner through taxation and borrowing, the government financed a substantial part of the expenditure through currency issue. The government transferred sterling to the RBI and got rupee currency against these assets. While there were certain factors which absorbed part of the currency increase, their impact was at best modest and the result was inflation. It was this increase in currency circulation and sterling assets which became a cause of concern for the Central Board from mid-1942. The price rise for the year 1941–42 was 23 percent and the Directors were anxious to discuss the matter.

The Governor, Sir James Taylor, thought that the price rise was more a demand–supply problem as the British government was making large purchases of goods and services in India. He welcomed the accumulation of sterling as being useful for India's post-war reconstruction plans. The Board discussed this matter at its meeting on July 20, 1942, but surprisingly the annual report of the Bank for the year 1941–42 stated that there was 'no evidence that inflation is present in the country in any serious form.'[2] Taylor also stated that the remedy for any inflation the expansion of currency was causing must consider the causes which were producing the increased demand for currency, and these he said were out of the RBI's control.

But the spiralling prices continued to cause great concern. Prof. C.N. Vakil in his booklet, *The Falling Rupee*, issued in January 1943, focused attention on the financial problems of the country and outlined the correct methods of financing the Allied expenditure in India. A few voices soon became a chorus, and a number of economists issued a joint statement on April 12, 1943, analyzing the causes of inflation and suggesting a plan of action.

Purshotamdas and his colleagues, concerned as they were about inflation, appeared to be more worried about the visible accumulation of sterling with the bank. In January 1943, Purshotamdas suggested that the sterling accumulating in London should not be taken over by the bank but kept with the Government of India for a temporary period until they negotiated a rupee loan to the UK, sterling being converted on the basis of 1s 6d as 'the enormous sterling balances…tends to make people nervous.'[3] Taylor replied that he did not know what objective this would serve and rejected the idea. It was left to Deshmukh when he became the Governor to revive the idea in